Solution

$$\text{Trade payables turnover ratio} = \frac{\text{Net credit purchases}}{\text{Average trade payables}} = \frac{1,00,000}{20,000} = 5 \text{ times}$$

$$\text{Average trade payables} = \frac{\text{Opening trade payables} + \text{Closing trade payables}}{2}$$

$$= \frac{(20,000 + 4,000) + (10,000 + 6,000)}{2} = \frac{40,000}{2} = ₹\ 20,000$$

$$\text{payment period (in days)} = \frac{\text{Number of days in a year}}{\text{Trade payables turnover ratio}} = \frac{365}{5} = 73 \text{ days.}$$

(iv) Fixed assets turnover ratio

Fixed assets turnover ratio gives the number of times the fixed assets are turned over during the year in relation to the revenue from operations. This ratio indicates the efficiency of utilisation of fixed assets.

$$\text{Fixed assets turnover ratio} = \frac{\text{Revenue from operations}}{\text{Average fixed assets}}$$

$$\text{Average fixed assets} = \frac{\text{Opening fixed assets} + \text{Closing fixed assets}}{2}$$

Greater the fixed assets turnover ratio better is the efficiency of management in utilisation of fixed assets.

Tutorial note

In the absence of opening fixed assets, closing fixed assets can be taken instead of average fixed assets.



Fixed assets turnover ratio can also be calculated by substituting cost of revenue from operations instead of revenue from operations.

Illustration 11

From the following information of Ashika Ltd., calculate fixed assets turnover ratio:

(i) Revenue from operations during the year were ₹ 60,00,000.

(ii) Fixed assets at the end of the year was ₹ 6,00,000.

Solution

$$\text{Fixed assets turnover ratio} = \frac{\text{Revenue from operations}}{\text{Average fixed assets}} = \frac{60,00,000}{6,00,000} = 10 \text{ times}$$

Tutorial note

As opening fixed assets are not given, fixed assets at the end are taken instead of average fixed assets.

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